

The banks, as everybody knows, are required by law to keep as reserve twenty-five per cent. of their deposits. This is in order to take care of their depositors. When their cash on hand is over and above this twenty-five per cent. margin, bankers loan money free and easy. As soon as their cash begins to creep down to the twenty-five per cent. limit—which can almost be called the dead line—bankers begin to get the cold shivers; they tighten their rates, and if the need is urgent enough, call in their outstanding loans. Knowing this we made our plans accordingly. We would put all of our cash into the form of deposits in the banks. Against these deposits we would write checks and get the banks to certify them. The banks would have to tie up enough funds to take care of these certifications. With the certified checks as collateral we would borrow greenbacks—and then withdraw them suddenly from circulation.

When our arrangements were complete, we went onto the stock market and sold shares heavily short. People thought we were fools, because of all the signs pointing to a big revival of trade. Soon these contracts of ours matured. We held a council. We decided that the time had come to explode our bomb. So all of a sudden we called upon the banks for our greenbacks. I remember well the scared look that came over the face of one banker when I made the demand. At first he didn't understand.

"Oh, yes," said he, after I had made my request; "you wish to withdraw your deposits from our bank? Of course, we can accommodate you. We shall take measures to get your account straightened up in the next few days."

"The next few days won't do," said I; "we must have it right away."

"Right away!" he said. "What do you mean?"

"I mean," said I, "within the next fifteen minutes."

He began to turn white. "Do you understand that a sudden demand of this kind was altogether unlooked for, and will occasion a great deal of needless hardship? A wait on your part of only a very short time would permit us to